

Debt-To-Income (DTI) Thresholds

Definition

DTI ratio measures borrower monthly debt obligations relative to gross income.

Standard Limits

- Conventional loans: 45% maximum DTI.
- FHA loans: up to 50% with compensating factors.
- VA loans: typically 41% guideline but flexible.

Compensating Factors

- High credit score above 740.
- Liquid reserves exceeding 6 months mortgage payments.

Underwriter Guidance

Files exceeding thresholds must include documented justification.